Key Words

Financial Market — Debt Market
Equity Market — New Issue Market

Exercise

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I. Choose the Correct Answers:

1. Financial market facilitates business firms

a) To rise funds
b) To recruit workers
c) To make more sales
d) To minimize fund requirement

2. Capital market is a market for

a) Short Term Finance
b) Medium Term Finance
c) Long Term Finance
d) Both Short Term and Medium Term Finance

3. Primary market is also called as

a) Secondary market b) Money market
c) New Issue Market d) Indirect Market

4. Spot Market is a market where the delivery of the financial instrument and payment of cash occurs

a) Immediately b) In the future
c) Uncertain d) After one month

5. How many times a security can be sold in a secondary market?

a) Only one time b) Two time
c) Three times d) Multiple times

Answers:

1	a	2	c	3	c	4	a	5	d

II. Very Short Answer Questions:

1. What are the components of organized sectors?
2. What is Spot Market?
3. What is Debt Market?
4. How is price decided in a Secondary Market?

III. Short Answer Questions:

1. Give the meaning of Financial Market.
2. Write a note on Secondary Market.
3. Bring out the scope of Financial Market in India.

IV. Long Answer Questions:

1. Distinguish between New issue market and Secondary Market. (any 5)
2. Enumerate the different types of Financial Markets. (any 5)
3. Discuss the role of Financial Market.

References:

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